Research bits #1: The Most Underrated Metric in (Factor) Research

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We're switching over to small, more frequent posts that are easier to write & read - hope you like it!

One of our biggest factor research breakthrough came when we made turnover a fi class citizen. The lesson was: high IC is essential, but not sufficient by itself.

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It's easy to skim over the fact that a high turnover factor is not directly comparable a low turnover one - they're qualitatively different, and will exhibit fundamentally m or less (statistical) significance.

We also started to systematically turn unprofitable, too-high turnover factors into profitable ones by applying simple smoothing / moving averages.

Example: Altair, our highest variance factor, flips the portfolio almost daily—comple unrealistic once costs are included. To keep ourselves honest and avoid overfitting, target a daily turnover of 30-40% for any factor (that has a higher turnover by defa — before we even look at performance.

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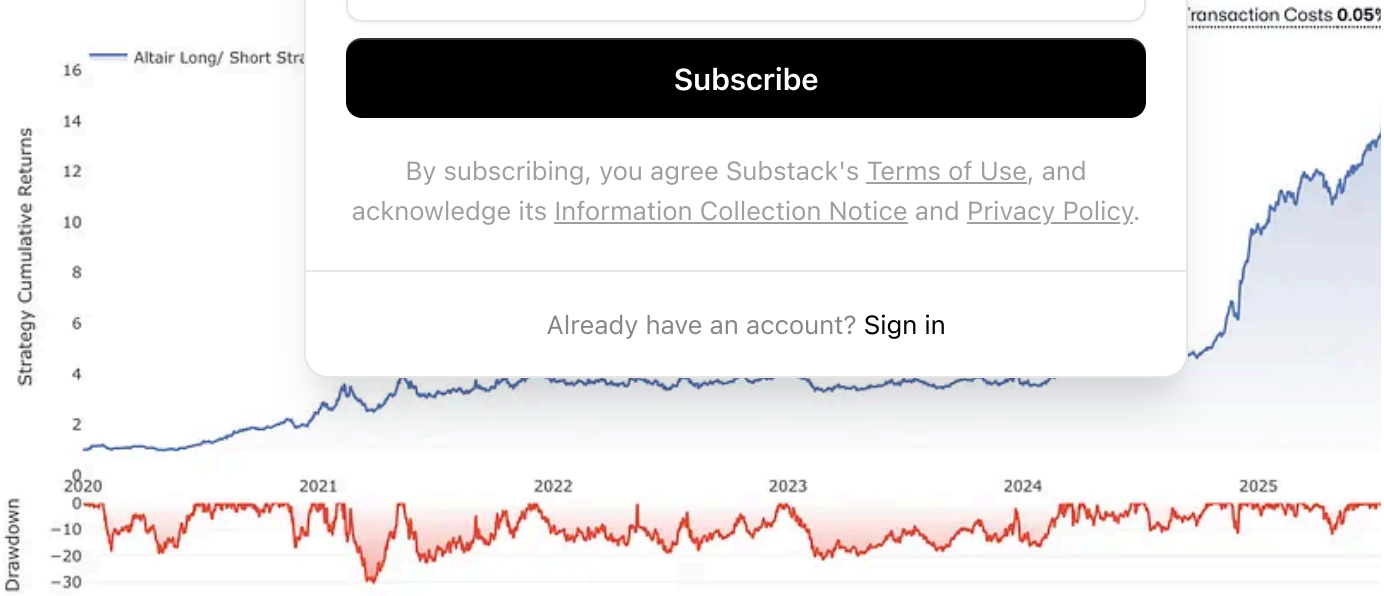

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